

estimates in internal ratings-based (IRB) capital requirements during benign credit conditions by using the PD estimates for a bank's portfolios in downturn conditions.⁴ Addressing the same issue, the UK Financial Services Authority (FSA) has proposed an approach aimed at providing non-cyclical PDs in IRB requirements through the application of a scalar that converts the outputs of a bank's underlying PD models into through-the-cycle estimates.⁵

Forward looking provisioning

23. The Committee is promoting stronger provisioning practices through three related initiatives. First, it is advocating a change in the accounting standards towards an expected loss (EL) approach. The Committee strongly supports the initiative of the IASB to move to an EL approach. The goal is to improve the usefulness and relevance of financial reporting for stakeholders, including prudential regulators. It has issued publicly and made available to the IASB a set of high level guiding principles that should govern the reforms to the replacement of IAS 39.⁶ The Committee supports an EL approach that captures actual losses more transparently and is also less procyclical than the current "incurred loss" approach.

24. Second, it is updating its supervisory guidance to be consistent with the move to such an EL approach. Such guidance will assist supervisors in promoting strong provisioning practices under the desired EL approach.

25. Third, it is addressing incentives to stronger provisioning in the regulatory capital framework.

Capital conservation

26. The Committee is introducing a framework to promote the conservation of capital and the build-up of adequate buffers above the minimum that can be drawn down in periods of stress.

27. At the onset of the financial crisis, a number of banks continued to make large distributions in the form of dividends, share buy backs and generous compensation payments even though their individual financial condition and the outlook for the sector were deteriorating. Much of this activity was driven by a collective action problem, where reductions in distributions were perceived as sending a signal of weakness. However, these actions made individual banks and the sector as a whole less resilient. Many banks soon returned to profitability but did not do enough to rebuild their capital buffers to support new lending activity. Taken together, this dynamic has increased the procyclicality of the system.

28. To address this market failure, the Committee is introducing a framework that will give supervisors stronger tools to promote capital conservation in the banking sector. Implementation of the framework through internationally agreed capital conservation standards will help increase sector resilience going into a downturn and will provide the mechanism for rebuilding capital during the economic recovery. Moreover, the framework is

⁴ See CEBS *Position paper on a countercyclical capital buffer* (July 2009), available at www.c-ebs.org/getdoc/715bc0f9-7af9-47d9-98a8-778a4d20a880/CEBS-position-paper-on-a-countercyclical-capital-b.aspx.

⁵ See UK FSA's note *Variable Scalar Approaches to Estimating Through the cycle PDs* (February 2009), available at www.fsa.gov.uk/pubs/international/variable_scalars.pdf.

⁶ See *Guiding principles for the revision of accounting standards for financial instruments issued by the Basel Committee* (August 2009), available at www.bis.org/press/p090827.htm.

sufficiently flexible to allow for a range of supervisory and bank responses consistent with the standard.

Excess credit growth

29. As witnessed during the financial crisis, losses incurred in the banking sector during a downturn preceded by a period of excess credit growth can be extremely large. Such losses can destabilise the banking sector, which can bring about or exacerbate a downturn in the real economy. This in turn can further destabilise the banking sector. These inter-linkages highlight the particular importance of the banking sector building up its capital defences in periods when credit has grown to excessive levels. The building up of these defences should have the additional benefit of helping to moderate excess credit growth.

30. The Basel Committee is introducing a regime which will adjust the capital buffer range, established through the capital conservation mechanism outlined in the previous section, when there are signs that credit has grown to excessive levels. The purpose of the countercyclical buffer is to achieve the broader macroprudential goal of protecting the banking sector in periods of excess aggregate credit growth.

31. The measures to address procyclicality are designed to complement each other. The initiatives on provisioning focus on strengthening the banking system against expected losses, while the capital measures focus on unexpected losses. Among the capital measures, there is a distinction between addressing the cyclicity of the minimum and building additional buffers above that minimum. Indeed, strong capital buffers above the minimum requirement have proven to be critical, even in the absence of a cyclical minimum. Finally, the requirement to address excess credit growth is set at zero in normal times and only increases during periods of excessive credit availability. However, even in the absence of a credit bubble, supervisors expect the banking sector to build a buffer above the minimum to protect it against plausibly severe shocks, which could emanate from many sources.

5. Addressing systemic risk and interconnectedness

32. While procyclicality amplified shocks over the time dimension, excessive interconnectedness among systemically important banks also transmitted shocks across the financial system and economy. Systemically important banks should have loss absorbing capacity beyond the minimum standards and the work on this issue is ongoing. The Basel Committee and the Financial Stability Board are developing a well integrated approach to systemically important financial institutions which could include combinations of capital surcharges, contingent capital and bail-in debt. As part of this effort, the Committee is developing a proposal on a methodology comprising both quantitative and qualitative indicators to assess the systemic importance of financial institutions at a global level. The Committee is also conducting a study of the magnitude of additional loss absorbency that globally systemic financial institutions should have, along with an assessment of the extent of going concern loss absorbency which could be provided by the various proposed instruments. The Committee's analysis has also covered further measures to mitigate the risks or externalities associated with systemic banks, including liquidity surcharges, tighter large exposure restrictions and enhanced supervision. It will continue its work on these issues in the first half of 2011 in accordance with the processes and timelines set out in the FSB recommendations.

33. Several of the capital requirements introduced by the Committee to mitigate the risks arising from firm-level exposures among global financial institutions will also help to address systemic risk and interconnectedness. These include: